

RPA Key Terms Glossary

California Residential Purchase Agreement — Plain English Definitions for New Agents

PARTIES & PEOPLE

Buyer

The person(s) purchasing the property. Full legal name(s) go in Paragraph 1A of the RPA — exactly as they appear on their ID, since this is what appears on the grant deed.

Seller

The person(s) selling the property. The seller does not sign the RPA initially — they accept, counter, or reject the buyer's offer.

Buyer's Agent

The real estate licensee who represents the buyer. You are NOT a party to the RPA — you facilitate the transaction. Your brokerage info goes in Paragraph 2B.

Listing Agent

The real estate licensee who represents the seller. Also called the seller's agent.

Dual Agent

When one brokerage represents BOTH the buyer and seller in the same transaction. Requires written consent from both parties. Carries significant fiduciary responsibility. See Paragraph 2B.

Escrow Holder

A neutral third party (title/escrow company) that holds the deposit and all funds, prepares closing documents, and coordinates the transfer of title. The deposit goes to escrow — NEVER directly to the seller.

Legally Authorized Signer

A person with authority to sign on behalf of another — such as a trustee signing for a trust buyer, or an attorney-in-fact signing via power of attorney. See Paragraphs 32-33.

MONEY & FINANCING

Purchase Price (§3A)

The total amount offered for the property. All cash or financed — both go here.

Initial Deposit / EMD

Earnest Money Deposit. The good-faith deposit paid by the buyer to escrow within 3 BUSINESS DAYS of acceptance. Typically 1-3% of the purchase price. This is part of the down payment, not in addition to it.

Increased Deposit (§3D(2))

An additional deposit paid after the initial EMD — often used in competitive offers to show commitment. Also part of the down payment.

Down Payment

The total cash the buyer brings: Initial Deposit + Increased Deposit + Balance of Down Payment. The loan covers the rest.

Balance of Down Payment (§3F)

The remaining cash after the deposit(s). Formula: Purchase Price minus Loan Amount minus All Deposits = Balance. Must balance exactly.

Loan Amount (§3E)

The amount the lender is financing. Enter in Paragraph 3E(1) along with loan type, max interest rate, and points.

Seller Credit (§3G(1))

Money the seller agrees to pay toward the buyer's closing costs. Reduces the seller's net proceeds. Common in buyer-favorable markets.

Buyer Broker Compensation (§3G(3))

The amount the seller agrees to pay the buyer's brokerage from the transaction proceeds. Enter as a percentage or dollar amount.

Prorations

How ongoing costs (property taxes, HOA dues, rent) are split between buyer and seller as of the Close of Escrow date. The RPA calculates prorations based on a 30-day month. See Paragraph 17.

Liquidated Damages (§29)

If the buyer defaults after contingencies are removed, the seller keeps the deposit as pre-agreed compensation — but ONLY up to 3% of the purchase price for a 1-4 unit owner-occupied property. Both parties must initial this paragraph.

TIMELINE & CLOSING

Close of Escrow (COE) (§3B)

The date the deed records with the county and ownership transfers. Enter as a number of days after acceptance OR a specific calendar date. Standard is 30 days. FHA/VA loans often need 30-45 days.

Acceptance

The moment the seller signs the RPA (or counter offer) and delivers it back to the buyer. All timelines in the RPA start from this moment.

Days

Unless otherwise specified, all deadlines in the RPA are CALENDAR days — weekends and holidays count. The EMD delivery (3 business days) is a major exception.

Business Days

Monday through Friday, excluding California legal holidays. The initial deposit is due within 3 business days of acceptance.

Expiration of Offer (§3C)

How long the seller has to respond. Default: 3 calendar days after all buyer signatures at 5:00 PM. You can shorten this in competitive markets.

Final Verification of Condition (§16)

The buyer's right to do a final walkthrough within 5 days before COE. This is NOT a contingency — it's only to confirm the property's condition matches what was agreed. Use C.A.R. Form VP.

Possession (§3M)

When the buyer gets the keys. Default: 6 PM on the COE date upon notice of recordation. If seller stays: 29 days or fewer = C.A.R. Form SIP. 30+ days = C.A.R. Form RLAS (creates landlord-tenant relationship).

Recordation

When the county officially records the grant deed, making the buyer the legal owner. This typically happens on the COE date, but actual timing varies by county.

CONTINGENCIES

Contingency

A condition in the contract that must be satisfied for the sale to proceed. If the condition is not met, the buyer can cancel and get their deposit back. Contingencies protect the buyer.

Loan Contingency (¶8A / L1)

Protects the buyer if their loan falls through. Default: 17 days after acceptance. If the loan is denied after removal, the buyer loses their deposit.

Appraisal Contingency (¶8B / L2)

Protects the buyer if the home appraises below the purchase price. Default: 17 days. The buyer can cancel OR renegotiate if the appraisal comes in low.

Investigation Contingency (¶8C / L3)

Gives the buyer the right to inspect the property and cancel for any reason related to its condition. Default: 17 days. This is the general inspection contingency.

Insurance Contingency (¶8H / L4)

Protects the buyer if they cannot obtain homeowner's insurance at a reasonable cost. Increasingly important in California wildfire areas.

Title Contingency (¶8F / L6)

Buyer's right to review the Preliminary Title Report (aka "prelim") and cancel if title issues are found. Default: 17 days or 5 days after delivery, whichever is later.

Contingency Removal (CR-B)

The written form used to remove contingencies. C.A.R. Form CR-B. Removing contingencies in writing is required — verbal removal has no legal effect. Removal is permanent.

Against Agent Advice

Language printed on the RPA itself: removing contingencies at the time of the offer is stated to be "against Agent advice." Always document this conversation with your buyer.

TITLE & ESCROW

Title

Legal ownership of the property. "Clear title" means no liens, judgments, or encumbrances that would prevent transfer.

Preliminary Title Report (Prelim)

A report from the title company listing all recorded interests in the property — liens, easements, CC&Rs.; Reviewed during the title contingency period.

Vesting

How the buyer takes legal ownership — as an individual, joint tenants, tenants in common, a trust, etc. Has major legal and tax implications. The RPA says manner of taking title "may have significant legal and tax consequences" — always refer buyers to an attorney.

ALTA Policy

Extended title insurance covering the buyer. More comprehensive than a CLTA policy. The RPA says the buyer shall receive an ALTA policy if available (Paragraph 13G).

CLTA Policy

Standard title insurance. Covers the buyer for recorded matters only. Less protection than ALTA.

Grant Deed

The document that transfers title from seller to buyer. Recorded with the county at close of escrow.

Escrow Instructions

Documents signed by buyer and seller directing the escrow holder how to close. Must be signed within 5 days of delivery per Paragraph 19B.

DISCLOSURES & REPORTS

TDS — Transfer Disclosure Statement

Required by California law for all residential 1-4 unit sales (Civil Code §1102). Seller discloses known material facts about the property. Buyer has 3 days after delivery to cancel.

SPQ — Seller Property Questionnaire

C.A.R. Form SPQ. Detailed supplement to the TDS — covers permits, additions, HOA issues, insurance claims, and more.

NHD — Natural Hazard Disclosure

Required disclosure identifying if the property is in a flood zone, fire hazard zone, earthquake fault zone, or other designated area. Cost allocation is in Paragraph Q(1).

Preliminary Title Report

See "Title" section above.

HOA Documents (§11M)

For properties in a Homeowner Association: CC&Rs, bylaws, budget, reserve study, meeting minutes. Seller pays the HOA fee to prepare these (§1Q12). Buyer pays the HOA certification fee (§1Q13).

Agency Disclosure (AD)

C.A.R. Form AD. Must be given to your buyer before or when writing the offer. Explains buyer agency, seller agency, and dual agency. Referenced in Paragraph 2A.

AVID — Agent Visual Inspection Disclosure

Your own visual inspection of the property documented in writing. Required for all California residential transactions. Separate from TDS.

DISPUTE RESOLUTION

Mediation (§30)

Required first step before any legal action. Parties meet with a neutral mediator to try to resolve disputes. Cost split equally. Use consumermediation.org or agreed provider.

Arbitration (§31)

If mediation fails, parties can agree to binding arbitration instead of going to court. Both parties must initial Paragraph 31E. By initialing, you give up your right to a jury trial.

Notice to Perform (NBP)

C.A.R. Form NBP. Formal notice given to a party who has failed to meet a contractual obligation. Required before cancellation in most cases.

Demand to Close Escrow (DCE)

C.A.R. Form DCE. Used when a party fails to close — gives at least 3 days to perform before cancellation rights arise.

Cancellation of Contract (CC)

C.A.R. Form CC. Used to formally cancel the agreement. Deposit release requires mutual signed instructions or a court order.

FinCEN / GTO Reporting (§13D)

Federal requirement: if the buyer is a legal entity or trust, and the purchase is all-cash or \$300,000+, the title/escrow company must collect and report buyer identity information to the Financial Crimes Enforcement Network. Effective March 1, 2026.

This glossary is for EDR Realty Group internal training purposes only. Always verify current C.A.R. form language at car.org. For legal advice, refer clients to a qualified California real estate attorney. Aligned with C.A.R. Form RPA Revised 12/25 and CA DRE requirements.